

Four Types of Title Insurance in Michigan

Owners

- **What does it cover:** Written for sales price. Coverage remains the same, even if the property increases in value, unless the owner purchases an inflation rider.
- **Who pays, who benefits:** Seller pays to benefit buyer

Lenders/Mortgagees

- **What does it cover:** Written for the outstanding loan balance, decreasing in value as the loan is paid off. Insures the lender against title defects of the property used as collateral.
- **Who pays, who benefits:** Buyer pays to benefit lender

Leasehold

- **What does it cover:** May be used when a leasehold interest, and not a fee simple, interest, is used as security for the debt. Primarily used in commercial transactions.
- **Who pays, who benefits:** Lessor pays to benefit mortgagee and/or lessee

Contract Buyers*

- **What does it cover:** May be used in a land sales contract between the vendor (seller) and vendee (buyer), and protects the contract buyer against defects in the seller's title that existed before the contract was consummated.
- **Who pays, who benefits:** Vendee or vendor, to benefit vendee (contract buyer)

***Note:** Licensees who represent a vendee in a land sales contract should ensure that the contract buyer knows about the availability of such insurance, and should recommend that such an insurance policy be purchased to protect their client's interests.